

Costco Wholesale (NASDAQ: COST): A Great Business at a Price the Cash Flows Cannot Reach

Equity research memo | Valuation date: 31 January 2025 | Price: \$979.88 | Author: Pooja Master

Independent academic research and valuation case study; not investment advice.

Conclusion	Overvalued on fundamentals: base-case DCF \$337/share (range \$263–\$400); the price is 2.9x the base case
What the price implies	7.0% perpetual growth after FY2029, or a 4.8% cost of capital (vs. 3.0% and 8.4% in the base case)
Why it may persist	Membership fees (52% of operating income, 92.9% renewal) make earnings unusually durable; investors pay a scarcity premium

1. Business overview

Costco runs 890 membership warehouses (614 in the U.S., 108 in Canada, 168 in other countries) and sells a limited range of goods close to cost. It earns most of its profit from the annual fee. FY2024 revenue was \$254.5bn: \$249.6bn of net sales and \$4.8bn of membership fees. There were 76.2m paid members (136.8m cardholders), and 46% were Executive members paying the double fee. The model is simple. Low prices drive traffic and renewals; renewals fund the low prices.

2. Industry and competitive position

Costco competes with Walmart (including Sam's Club), BJ's, Target, Kroger and the dollar stores for the household grocery and consumables budget, a mature, low-margin market. Its edge comes from:

- **Scale in few items.** Fewer than 4,000 SKUs per warehouse (10-K) give each supplier huge volume and Costco strong buying power.
- **Suppliers fund the inventory.** Inventory sells in about 29 days, and suppliers are paid in about 30.
- **Members pay upfront.** Fees are deferred and received ahead of the service.

Together these give **negative working capital** (–4.8% of revenue) and returns on invested capital of about **30%**. Among peers, only Walmart has comparable scale; BJ's copies the model at about 8% of Costco's revenue.

3. Historical performance (FY2020–FY2024)

\$bn unless noted	FY2020	FY2022	FY2024	Comment
Revenue	166.8	227.0	254.5	11.1% CAGR, inflated in FY21–22
Comparable sales ex gas & FX	9%	11%	6%	Normalized to 5–6%
Operating margin	3.26%	3.43%	3.65%	SG&A leverage, gross margin flat
Membership fees / operating income	65%	54%	52%	Fees grew ~7%/yr without a price rise
ROIC (after tax, incl. leases)	25%	31%	33%	Incremental ROIC ~49%
Free cash flow	6.1	3.5	6.6	\$11.1bn returned as special dividends

All figures come from the 10-K inline XBRL, and each number links to its tagged fact. 320 values were cross-checked against the SEC API.

4. Forecast assumptions (FY2025–FY2029)

The base case is anchored to management's FY2025 plans (26 net new warehouses, ~\$5.0bn capex) and to the Q1 FY2025 trend (net sales +7.5%).

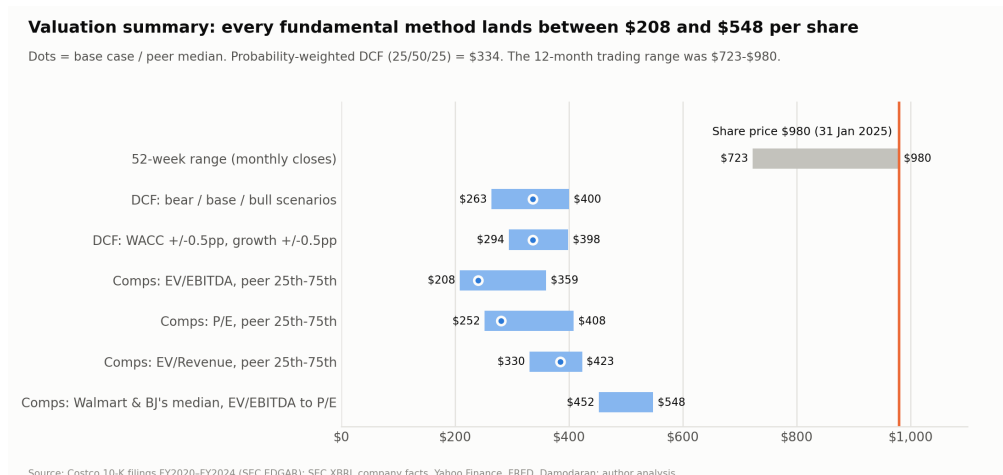
- **Comparable sales:** fade from 5.5% to 4.0%.
- **New warehouses:** add ~1.8–1.9 points of growth a year.
- **Paid members:** growth fades from 7% to 5%.
- **Fee increase:** the September 2024 rise (\$60 → \$65) phases in over FY2025–26.
- **Margins and returns:** gross margin 11.0% and SG&A 9.2% of net sales, held flat; no further leverage is assumed.
- **Other assumptions:** tax 26%; working capital held at –4.8% of revenue.

Result: revenue grows 6.6% a year to \$349.5bn. Operating margin rises from 3.65% to 3.77%, entirely from the fee increase. EPS reaches \$23.13 in FY2029. The three statements are fully linked, and the balance sheet balances in every year (automated tests).

5. Valuation

- **Cost of capital (WACC): 8.38%.**
 - Risk-free rate 4.58% (10-year Treasury).
 - Beta 0.89 (60-month regression, Blume-adjusted).
 - Equity risk premium 4.33% (Damodaran, January 2025).
 - Debt is 1.5% of capital.

- **Terminal value.** 3.0% growth, with reinvestment tied to a 25% return on new capital. It is 81% of enterprise value and implies 9.9x FY2029 EBITDA.
- **DCF result.** Enterprise value \$145.3bn plus \$4.5bn net cash gives **\$337 per share**.
- **Comparable companies.** Peer-median EV/EBITDA (8.7x) implies \$240 and peer-median P/E (16.4x) \$280. Walmart/BJ's multiples give \$452–\$548. Costco trades at **36.5x LTM EBITDA and 57x earnings**, above even Walmart (20x, 40x).
- **Sensitivity.** Across WACC 7.4–9.4% and growth 2–4% the value ranges from \$263 to \$495. Bear/base/bull give \$263/\$337/\$400, a probability-weighted **\$334**.
- **Reverse DCF.** Even 7% growth for another 100 years after FY2029 yields only ~\$780.



6. Catalysts

- **Fee increase flow-through.** The increase shows up as it is recognized through FY2025–26. Expect roughly 10–11% fee growth, against 7.8% in Q1.
- **Monthly sales and quarterly results.** These test the 5–6% comparable-sales run-rate.
- **Capital return.** Cash is building (net cash \$4.5bn and rising), so another special dividend is possible.
- **Next fee increase.** Historically every 5.5–7 years, so around FY2030–31.

7. Risks to the conclusion (upside)

- **Structurally lower discount rate.** If investors keep treating Costco as a bond-like compounder, the view is wrong: a 6.0% WACC gives ~\$596, and 5.5% gives ~\$713.
- **Longer growth runway.** International expansion sustaining 8–10% growth for decades.
- **New high-margin income.** Retail media, financial services or faster fee increases.

Downside risks to the business:

- consumer slowdown and price competition from Walmart/Sam's and Amazon;
- wage and tariff cost inflation;
- slower member growth as openings cannibalize existing warehouses;
- multiple compression from 57x earnings toward the peer range.

8. Conclusion

Costco is an exceptional business, and the numbers show it: ~30% ROIC, negative working capital and a 93%-renewal fee stream. But at \$980 the share price sits far above every fundamental estimate in this study (\$208–\$570). The base-case DCF is \$337, and even the bull case reaches only \$400. The premium is a bet that Costco's growth and safety last far longer than any explicit forecast can justify. **Admire the business; the valuation leaves no margin of safety.**

9. Model limitations

- **Terminal value dominates.** It is 81% of EV, so results depend heavily on long-run growth and returns.
- **Stub period.** Net debt is dated 24 Nov 2024, and the FY2025 stub ignores seasonality.
- **Beta.** Backward-looking and includes the pandemic years.
- **Comparable companies.** GAAP LTM figures without adjustments; small peer set; Dollar Tree not meaningful.
- **No consensus estimates.** No forward multiples were used.

Full model, code and sources: github.com/pooja003-cloud/costco-equity-research-valuation.